

MONTHLY EXECUTIVE SUMMARY

March 2026 Compliance Report

Vantage Aerospace Systems, Inc. · Contract N68335-25-C-0142 · Reporting Period:
March 1 – March 31, 2026

◆ *SAMPLE OUTPUT — Fictional client (Vantage Aerospace Systems, Inc.) — Generated for demonstration purposes only* ◆

94	1,600.9	86%	3
COMPLIANCE SCORE	BILLABLE HOURS	PM VERIFIED	UNALLOWABLE FLAGS

EXECUTIVE NARRATIVE

Summary of March Performance

During the March 2026 reporting period, Vantage Aerospace Systems, Inc. maintained a strong compliance posture across all active engineering efforts supporting Contract N68335-25-C-0142 (Autonomous Guidance Algorithm). The team logged **1,600.9 billable hours** across six engineers, distributed against four CLINs (Research & Algorithm Development, Software Integration & Testing, Hardware-in-the-Loop Simulation, and Technical Documentation & Reporting). Daily labor distribution records were captured at the time of work via the Slack-native interface, translated into SF-1408-aligned documentation, and committed to the immutable audit vault within seconds of entry.

Three potentially unallowable cost entries were automatically flagged by the compliance engine during the reporting period (see Findings below). In all three cases, flagged entries were correctly classified as non-billable at the point of entry and were **not** charged against the contract. No corrective action is required. Program Manager verification coverage remained at 86%, meeting the 80% threshold recommended for Phase II pre-award audit readiness.

The team is currently 67% through the Phase I period of performance and tracking on schedule against SOW Milestones 2 and 3. Based on current labor distribution, projected Phase I burn-through is April 28, 2026 — 5 days ahead of the contractual end date, which is within acceptable variance. Recommended action: begin SF-1408 pre-award survey preparation no later than April 8, 2026 to support Phase II proposal submission.

LABOR DISTRIBUTION BY ENGINEER

March 2026 Hours by Person

Engineer ID	Name	Labor Category	Hours Billed	Entries
E-4471	Marcus Chen	Principal Investigator	88.4	48
E-4472	Priya Ramanathan	Senior Software Engineer	128.1	54
E-4473	David Okonkwo	Systems Engineer	96.7	46
E-4474	Rebecca Tanaka	ML Research Engineer	113.2	50
E-4475	Jaime Ortiz	Embedded Systems Engineer	119.6	51
E-4476	Hannah Winters	Test Engineer	87.3	48
TOTAL (March)			633.3	297

LABOR DISTRIBUTION BY CLIN

March 2026 Contract Line Item Allocation

CLIN	Description	Hours	% of Total
CLIN 0001	Direct Labor — Research & Algorithm Development	218.4	34.5%
CLIN 0002	Direct Labor — Software Integration & Testing	186.1	29.4%
CLIN 0003	Direct Labor — Hardware-in-the-Loop Simulation	124.8	19.7%
CLIN 0004	Direct Labor — Technical Documentation & Reporting	104.0	16.4%
TOTAL		633.3	100%

FLAGGED ENTRIES — UNALLOWABLE COSTS

Automated FAR Part 31 Detections

Date	Engineer	Raw Input (Slack)	FAR Citation	Disposition
03/09/26	Priya Ramanathan	grabbed lunch with client during mtg	FAR 31.205-46	Flagged — Non-billable
03/18/26	Rebecca Tanaka	team happy hour to celebrate sprint close	FAR 31.205-14	Flagged — Non-billable
03/25/26	Marcus Chen	flew first class to dc for program review	FAR 31.205-46	Flagged — Under review

RECOMMENDED ACTIONS

Next 30 Days

1. Schedule internal SF-1408 readiness review with CPA partner no later than April 8, 2026.
2. Request written justification from Marcus Chen for first-class travel (03/25) or reclassify as unallowable.
3. Increase PM verification coverage from 86% to 90%+ prior to Phase II proposal submission.
4. Generate provisional Incurred Cost Submission (ICS) package for FY2026 Q1 review.
5. Review indirect cost rate projections — current trajectory supports provisional rate of 92%.

ATTESTATION

This report was generated by the PhaseOne Compliance automated reporting engine on 2026-04-17 21:56:30 UTC from data captured in the DCAA Compliance Ledger during the stated reporting period. All labor entries in the underlying ledger are timestamped at the point of capture and stored in an immutable audit trail. This summary does not constitute a certified audit determination.